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Chicago Region Employment Growth Is Largely Dependent on a Small Group of Metros

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The Chicago Region has surpassed its pre-pandemic employment peak, but nearly half of the Region's Metropolitan Statistical Areas (MSAs) are still below their pre-pandemic peaks. A small group of high-growth metros have driven the Region's recovery. These MSAs are more exposed to sectors like the transportation and utilities sector that have grown strongly during this expansion, while waning MSAs are more exposed to the manufacturing sector that has struggled in recent years. Growth in the transportation and utilities sector is now faltering. The Region relies more on its high-growth MSAs than the nation does, and a correction in those metros could lead to substantial weakening of the Region's labor market.

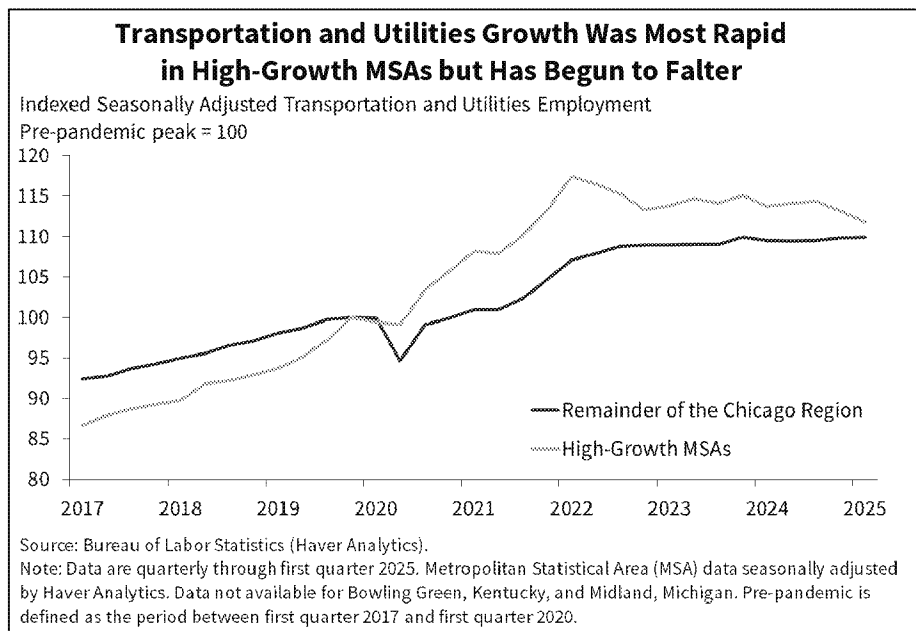
Chicago Region growth is driven by a small number of metros with larger concentrations in a few key sectors, such as transportation and utilities. The Region has recovered employment lost during the pandemic but two-thirds of the Region's job growth stems from its high-growth MSAs, while less than half of the nation's growth stems from its high-growth MSAs.¹ Compared to other Chicago Region metros, high-growth MSAs had lower concentrations in the manufacturing sector and benefitted from higher concentrations in the transportation and utilities, financial services, and construction sectors.²

While the transportation and utilities sector has grown across the Region, the growth has been faster in high-growth MSAs. The sector benefitted from the shift toward e-commerce and goods purchases during the pandemic but growth has stalled as spending shifted back toward services, and economic uncertainty rose (Chart 1). High-growth MSAs also were strengthened by their concentrations in the financial services and construction sectors. Although the financial services sector has only modestly exceeded pre-pandemic peaks in high-growth MSAs and the rest of the Region, the higher concentration in high-growth MSAs pulls in the sector's high salaries. Conversely, growth in the construction sector has been much stronger in high-growth MSAs, reflecting demand fueled by economic growth.

¹ "Pre-pandemic" is defined as the period between first quarter 2017 and first quarter 2020. When possible, this article uses Metropolitan Divisions instead of the larger MSAs. National calculations exclude Puerto Rico MSAs.

² High-growth MSAs are metros in the top quartile, or 25 percent, based on employment growth from its pre-pandemic peak. For the Chicago Region, this includes metros that grew more than 2.9 percent.

Chart 1



Continued weakness in many other Region MSAs has weighed on total regional growth. Nearly half of the Region's metros were below their pre-pandemic employment peak in first quarter 2025. These waning metros were disproportionately concentrated in manufacturing, which has struggled during much of this economic expansion.³ These metros also lost a larger share of jobs in the manufacturing sector than the rest of the Chicago Region (Chart 2). Waning metros tended to be relatively small and undiversified compared to other Region MSAs, which may have hurt their ability to compete for workers and businesses. As a result of weaker employment growth, waning MSAs have experienced rising unemployment rates despite considerable declines in the labor force and shrinking populations.

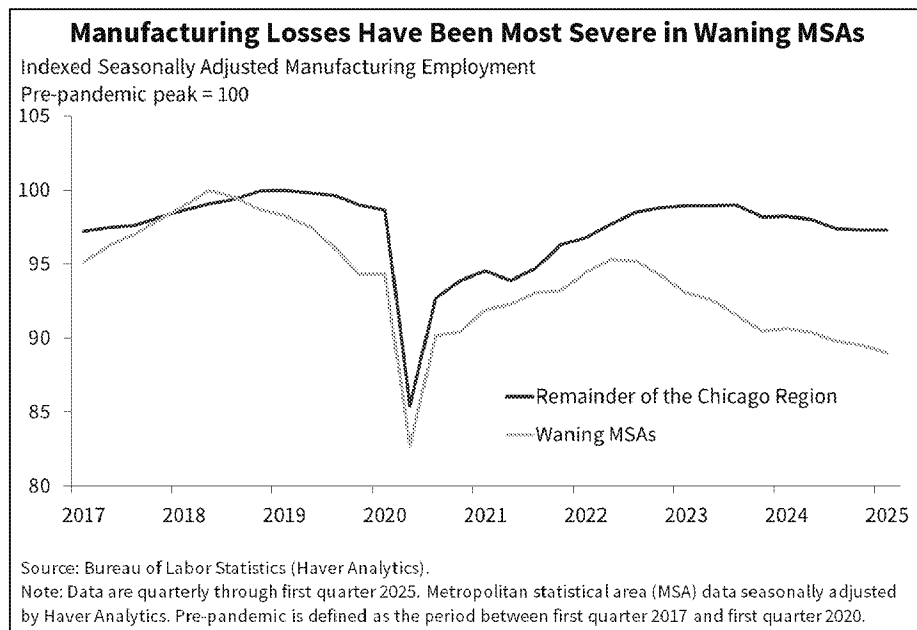
Banks lending in industrial and apartment markets within high-growth MSAs are exposed to riskier CRE conditions. Higher construction and investor demand within high-growth MSAs have led to higher vacancy and lower capitalization rates, creating higher risk profiles for banks lending in these areas. Apartment stock rose more than 10 percent from fourth quarter 2019 in more than two-thirds of the high-growth MSAs, while industrial stock rose more than 5 percent in more than 60 percent of high-growth metros. As a result, the median vacancy rate for high-growth MSAs rose substantially in both the industrial and apartment sectors. Despite rising vacancy and higher interest rates, capitalization rates in both segments rose only modestly among high-growth MSAs, indicating continued investor interest in these segments.⁴ Waning

³ Waning MSAs are metros in the bottom quartile, or 25 percent, based on employment growth from its pre-pandemic peak. For the Chicago Region, this includes metros that contracted more than 1.6 percent.

⁴ CRE data are from CoStar as of first quarter 2025.

metros were much less dynamic but may be more stable in the event of a market correction. Banks in high-growth MSAs experienced stronger growth in CRE lending, resulting in higher concentrations than in all other Regional MSAs. The median CRE concentration among the 128 banks headquartered in high-growth MSAs rose nearly 30 percentage points from the fourth quarter of 2019, more than double the typical bank in all other metro areas.

Chart 2



The Region's reliance on a small group of metros for meaningful growth is a key risk for future growth. Growth in the transportation and utilities sector is likely to remain well below the growth that boosted payrolls beyond the pre-pandemic peak as economic uncertainty remains high and as industrial construction continues to slow. Likewise, construction growth faces substantial headwinds as higher costs and interest rates constrain development. Meanwhile, continued weakness in the manufacturing sector, exacerbated by rising costs, will weigh on regional employment given the Region's dependence on the sector. Continued manufacturing contraction clouds the outlook for the Region's waning MSAs, which may not reach pre-pandemic employment peaks before a recession begins.

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Appendix

Table 1: Chicago Region Metro Growth Compared to Pre-Pandemic			
Metro	Change in Employment	Change in Labor Force	Change in Population
Illinois			
Bloomington	5.7%	2.2%	-0.2%
Champaign-Urbana	2.0%	1.0%	1.7%
Elgin	1.6%	-1.5%	2.0%
Chicago-Naperville-Schaumburg	0.8%	3.6%	-1.5%
Springfield	0.6%	-3.5%	-2.3%
Peoria	-0.2%	-3.5%	-2.9%
Lake County	-2.2%	-4.1%	0.2%
Rockford	-4.5%	-7.4%	-1.2%
Kankakee	-6.9%	-7.4%	-2.8%
Decatur	-9.9%	-12.8%	-4.9%
Indiana			
Indianapolis-Carmel-Greenwood	7.4%	6.8%	4.9%
Lafayette-West Lafayette	6.4%	4.5%	2.8%
Fort Wayne	3.6%	2.4%	4.1%
Lake County-Porter County-Jasper County	3.3%	2.1%	1.4%
Bloomington	2.1%	1.2%	0.5%
Michigan City-La Porte	1.0%	0.7%	-1.0%
Evansville	-1.5%	-2.2%	1.3%
Columbus	-2.4%	-2.4%	3.3%
Terre Haute	-2.8%	-3.7%	-0.7%
South Bend-Mishawaka	-4.0%	-3.5%	0.2%
Muncie	-5.6%	-4.2%	-1.0%
Elkhart-Goshen	-7.9%	-7.9%	0.2%
Kokomo	-11.0%	-8.2%	0.7%
Kentucky			
Bowling Green	7.9%	6.4%	9.4%
Lexington-Fayette	7.7%	5.2%	3.6%
Louisville-Jefferson County	4.4%	2.2%	2.7%
Owensboro	3.0%	1.2%	1.4%
Paducah	1.9%	-1.3%	-1.2%
Elizabethtown	1.3%	0.3%	2.2%
Michigan			
Midland	7.3%	8.5%	0.7%
Traverse City ⁵	7.3%	7.9%	2.6%
Monroe	2.9%	5.5%	1.1%
Lansing-East Lansing	2.8%	4.9%	1.2%
Grand Rapids-Wyoming-Kentwood	2.5%	4.2%	3.0%

⁵ Employment data for Traverse City, Michigan, and Sandusky, Ohio, are seasonally adjusted by Haver.



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Table 1: Chicago Region Metro Growth Compared to Pre-Pandemic

Metro	Change in Employment	Change in Labor Force	Change in Population
Flint	1.7%	4.5%	-1.5%
Muskegon-Norton Shores	1.4%	4.8%	1.1%
Detroit-Dearborn-Livonia	1.2%	0.6%	-1.4%
Ann Arbor	0.9%	3.2%	-0.2%
Kalamazoo-Portage	0.7%	2.7%	1.2%
Warren-Troy-Farmington Hills	0.3%	-0.4%	1.2%
Niles	-0.4%	2.6%	-1.5%
Bay City	-0.5%	1.8%	-2.2%
Jackson	-1.6%	1.6%	-0.6%
Battle Creek	-1.7%	1.7%	-0.6%
Saginaw	-5.5%	-2.1%	-2.2%
Ohio			
Sandusky ⁵	4.7%	3.1%	-2.7%
Columbus	4.4%	4.6%	4.6%
Cincinnati	3.1%	2.8%	2.8%
Dayton-Kettering-Beavercreek	0.6%	1.0%	1.1%
Akron	-0.6%	-0.4%	-0.3%
Canton-Massillon	-0.7%	-0.3%	-0.5%
Toledo	-1.5%	-0.2%	-1.0%
Cleveland	-1.6%	-1.6%	-0.7%
Lima	-2.4%	-2.4%	-2.3%
Mansfield	-2.6%	-2.3%	-0.1%
Springfield	-2.9%	-1.1%	-1.1%
Youngstown-Warren	-3.1%	-3.9%	-2.0%
Wisconsin			
Kenosha	10.4%	6.6%	-0.2%
Eau Claire	3.7%	4.5%	3.0%
Madison	3.2%	5.2%	4.7%
Janesville-Beloit	2.9%	4.2%	1.1%
Green Bay	1.4%	1.6%	2.4%
La Crosse-Onalaska	1.3%	0.7%	0.5%
Appleton	0.7%	1.8%	2.9%
Sheboygan	0.1%	0.9%	0.5%
Wausau	-1.0%	-1.2%	0.9%
Racine-Mount Pleasant	-1.0%	-0.5%	0.4%
Oshkosh-Neenah	-1.1%	-0.7%	0.9%
Milwaukee-Waukesha	-1.2%	-1.2%	0.0%
Fond du Lac	-4.9%	-3.6%	0.1%

Sources: Bureau of Labor Statistics (Haver Analytics), Census Bureau (Moody's).

Note: Employment data are quarterly as of first quarter 2025. Population data are annual through 2024. Labor force data are seasonally adjusted by Haver. Green and red shading indicates whether a metro is classified as high-growth or waning. Pre-pandemic is defined as the period between first quarter 2017 and first quarter 2020.

